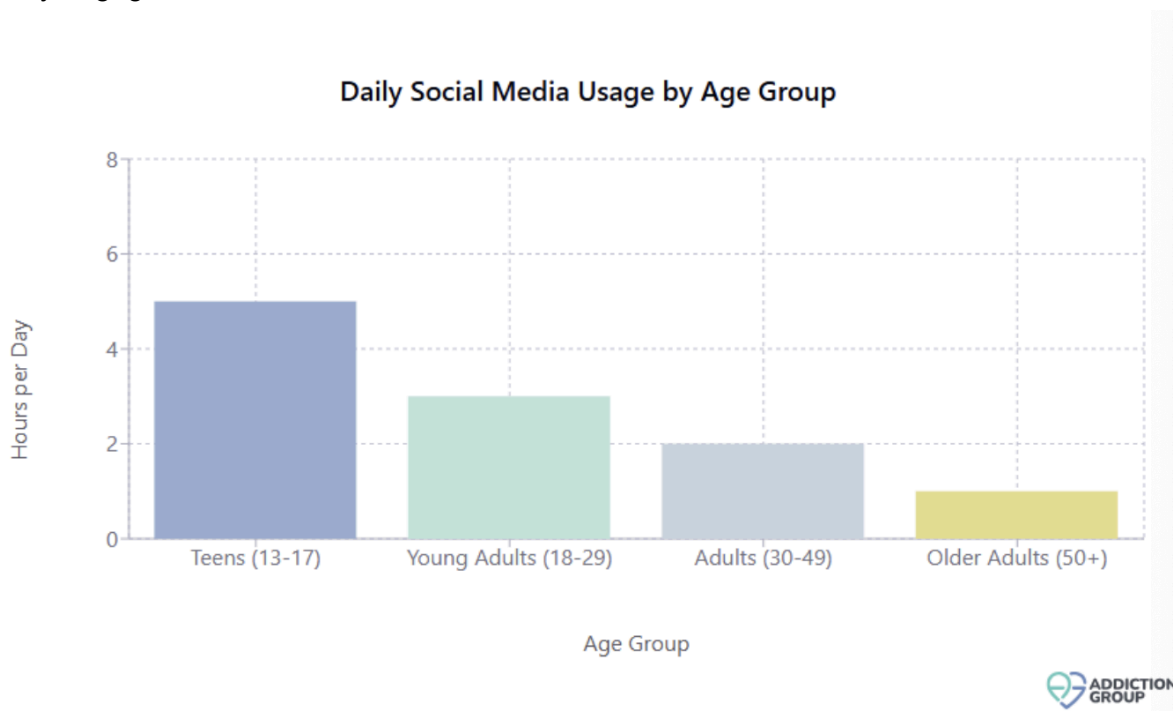


FINANCE AND SOCIETY: 11635

Assignment 2: Social Media Firms, Shareholder Maximization and Social Welfare

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Social media has become an inevitable part of the modern world, especially among the GenZ and GenAlpha population. While on one hand, companies like Meta and TikTok are consistently producing record-high valuations on their business, promoting the usefulness and information scale they provide, the negative side of it gains little attention and is often neglected. Is it alarming to look at the daily usage report, which raises an important question that most businesses focused on profit maximization are likely thinking less of: Is this a healthy engagement?



Source: Addiction Group, Statistics on Social Media Addiction (February 17th, 2025)

Over the years, internal studies, state hearings, and lawsuits have brought some adverse consequences to the surface; however, it is hard to understand if the positive externalities outweigh the negatives, and if not, why aren't there better measures to address this? Are the leaders of big social media businesses reluctant to accept any changes in their business model simply because the costs or benefits imposed on us (third parties) are not reflected in their market prices, and hence are not an issue they must address?

I believe the three prominent negative externalities of social media are the impact on mental health, given the addictive use, risks to privacy through data exploitation, and the constant flow of misinformation leading to unrealistic lifestyles and overall social distrust. Let's dive into each separately:

Addictive usage associated with mental health: Social media platforms are designed in a way that incorporates features like infinite scrolling and algorithmic recommendations, promoting longer user engagement. As a result, we are absorbed looking at the screen, doomscrolling, constantly

overstimulating our brains, and living in this alternate reality. An internal research conducted by Meta reveals how Instagram elevated body image concerns in adolescent girls, heightening anxiety, depression, and reduced self-esteem (The Guardian, 2021). Another survey data reemphasizes the societal scope of these harms: nearly 50% of U.S. teenagers self-report feeling addicted to social media, with 25% of teen girls indicating this as impacting their mental health negatively (Addiction Group, 2024; Pew Research Center, 2025). Although not financial numbers, this is a clear negative externality on societal welfare.

Privacy risks and data exploitation: It is very well known how social media companies collect and monetize vast amounts of personal data from their users. People constantly engage with content they find indulging. The platform gives free and infinite access, shares this usage report with external parties, which in turn exposes users to targeted advertisements. Not to mention, the cases of identity theft, financial fraud, and scams are heightened. A recent study reports 68% of facebook user concern on data privacy and lack of control over privacy settings (SocialEUM, 2024)

Misinformation, unrealistic lifestyles, and social distrust: Again, coming back to the engagement-driven algorithm, which amplifies misleading or extravagant content, including exaggerated lifestyles, loud political narratives, character defamations for the sake of getting more views. It is surprising to see that we, as end users, have been so fixated on income generation through the platform that we give social welfare and impact the last place in the priority line. From a social media business point of view, contents are peaking, engagements are heightening; however, with that, the basic sense of morality also seems to be deteriorating.

All of these negative externalities, being based on social welfare rather than reflective of market pricing makes it hard to quantify. Hence, leaves us wondering if the social media businesses are in fact performing within Friedman's (1970) take on the duties of a manager, which says to maximize shareholders' value, abiding by the law. In which case, the fault is not of the business, but of the regulations and market that fail to capture these societal risks. If this is true, it is high time we bring the government out from behaving as a minimal referee to lead as an active shaper.

Although there are tons of data to support, and I could go on and on about the negative externality, there are some prominent positive impacts on social media that make the platform very acceptable in today's day and age. To list a few:

Connecting families, friends, and societies: The platform allows uninterrupted access to friends and families even without living in the same country. We have come a long way from having to send letters overseas, to PCOs, to now your closest ones being just one phone call away. Even within the community, one has constant access to events happening in the areas, organizing a community event, and even connecting on a quick call with your friends. All of this was unimaginable 20 years ago, and thanks to social media platforms, which have now made this our reality.

Economic opportunities for small businesses: More than half of the world's population is on social media today, and the platform continues to attract over 259 million users each year (Chaffey, 2025). Small businesses now have access to this scale of audience for free, and hence, social media is well

known for facilitating entrepreneurship, innovation, and local economic growth. Not to mention, increase access to communities and voices that talk about mental health and abuse. Such positive externalities are hard to ignore as they combine social as well as financial value.

After studying both the negative and positive externalities, it is clear that the platforms have great potential to balance social and financial values if designed and used intentionally. Here are some market-based solutions that I believe would help us achieve that balance:

Mitigating addictive features: Implementing solid age restrictions and/or default time limits is crucial. Although these are already add-on features with some additional apps today, it is important that the social media platforms reinforce this from within, and the laws are formed to implement this strictly.

Privacy protection: Limiting access would mean potential loss in younger users; however, this is an opportunity for the business to build trust with its existing customers, promoting Consumer Lifetime Value Add (CLTV). Enforcing rigorous data protection standards, fining violators, and allowing full transparency to end users on data collection are crucial at this stage. Doing so will not only keep the existing consumers but also fill the void caused by age restrictions by promoting more free user and business engagements.

Digital literacy programs: One way to promote the positive externalities is to simply have more content that focuses on digital literacy. The business can itself engage more with the audience by utilizing its own platform to set up content around, “how to identify misinformation, how to fact check,” etc. Moreover, creating a page that serves as a truthful representation and promoting user engagement there.

In conclusion, given the scale and impact of the platform, it is hard to balance the tension between shareholder value maximization and social welfare. Our class discussion has highlighted that socially responsible behavior can often be more strategically driven than purpose-driven, and that firms frequently obscure tradeoffs rather than educate their shareholders. Hence, addressing these challenges will require a strong combination of regulation, market-based mechanisms, and transparency initiatives backed by the government. Only then, it would be fair to say that the social media platform managers are maximizing stakeholders' value, but with relevance to law that correctly calculates the societal risks.

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